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‘Driving Force, Restraining Influence’

PURSHOTAMDAS WAS NOMINATED A DIRECTOR of the RBI under Section 15(3) representing the Bombay register along with F.E. Dinshaw. Under the bank’s statute, apart from the four Directors to be nominated under Section 8(1) (b), the first eight Directors representing shareholders on the various registers (Bombay, Calcutta, Delhi, Madras, and Rangoon) were also to be nominated by the Governor General from the areas respectively served by these registers (Section 15(3)).[1] When in December 1935, the elected members of the Local Board of the Western Area (Bombay) cast their votes for electing two Directors to the Central Board for replacing those nominated by the Governor General to represent that area, both Purshotamdas and F.E. Dinshaw were unanimously elected to the Central Board. Purshotamdas remained on the Board for a period of nearly twenty-two years. Only Sir Shri Ram (twenty-six years), and B.M. Birla and C.R. Srinivasan (twenty-four years each), have been on the Central Board for longer.[2]

SAGACIOUS ADVICE

As we have seen in an earlier Chapter, Purshotamdas was initially not in favour of establishing a separate central bank for India and wanted to develop the Imperial Bank into a full-fledged central bank. But once it was decided that the RBI would be set up, Purshotamdas participated actively and fruitfully in the many discussions and deliberations which preceded the passing of the RBI legislation. He was a friend, philosopher, and guide of